

SECP AML/CFT Guidelines for Central Depositories and Capital Market Intermediaries

Official Publication • Doc ID: ab24cb8df822c79e • Central Depository Company of Pakistan / SECP

1. Statutory Authority & International Standards

Pursuant to the Anti-Money Laundering Act, 2010 (AMLA) and the SECP AML/CFT Regulations, 2020, aligned with Financial Action Task Force (FATF) Recommendations, these guidelines govern customer due diligence, transaction monitoring, and suspicious reporting for CDC, Depository Participants, and Capital Market intermediaries.

2. Risk-Based Approach (RBA) & Customer Due Diligence (CDD)

Regulated entities must implement a Risk-Based Approach (RBA) categorizing customers into Low, Medium, and High risk tiers based on country of origin, delivery channel, business profile, and transaction volumes. Simplified Due Diligence (SDD) is permissible solely for documented low-risk retail accounts, whereas Enhanced Due Diligence (EDD) is strictly mandatory for foreign entities, cash-intensive businesses, and non-profit organizations.

3. Politically Exposed Persons (PEPs) & Beneficial Ownership

Foreign and domestic Politically Exposed Persons (PEPs), including their immediate family members and close associates, must undergo rigorous Enhanced Due Diligence. Opening an account for a PEP requires prior written approval from the Chief Executive Officer or Compliance Committee. Furthermore, intermediaries must verify the Ultimate Beneficial Owner (UBO)—defined as any natural person holding twenty-five percent (25%) or more shares or voting control of a legal entity.

4. Transaction Monitoring, STRs and CTRs

Depositories and participants must maintain automated real-time transaction monitoring systems configured with suspicious behavior patterns. Whenever there are reasonable grounds to suspect funds are derived from criminal activity or money laundering, a Suspicious Transaction Report (STR) must be filed with the Financial Monitoring Unit (FMU) within the statutory timeline. Intermediaries are strictly prohibited under Section 34 of AMLA from 'tipping off' the client or any unauthorized party regarding STR filings.

5. Record Retention Mandate

All customer identification records, biometric verification logs, verification documents, and transaction monitoring alerts must be retained for at least ten (10) years from the date of transaction or closure of the business relationship.